



Motivation and rewards

People work for money, but they are also motivated by other factors such as doing a good job and being valued. Non-financial rewards drive day-to-day motivation more strongly than pay and benefits.

How it works

In the past, tangible pay and benefits were the key motivational tools for employees. These financial rewards are termed extrinsic because they are

external to the actual work and others control the amount, distribution, and timing. Employers now recognize that while extrinsic incentives are clearly important, intrinsic (psychological) rewards are crucial.

Understanding motivation in the workplace

Happy staff work well, and job satisfaction comes from subtle feel-good factors as much as a paycheck. Employees who enjoy their work tend to stay—job satisfaction and turnover move in opposite directions.

